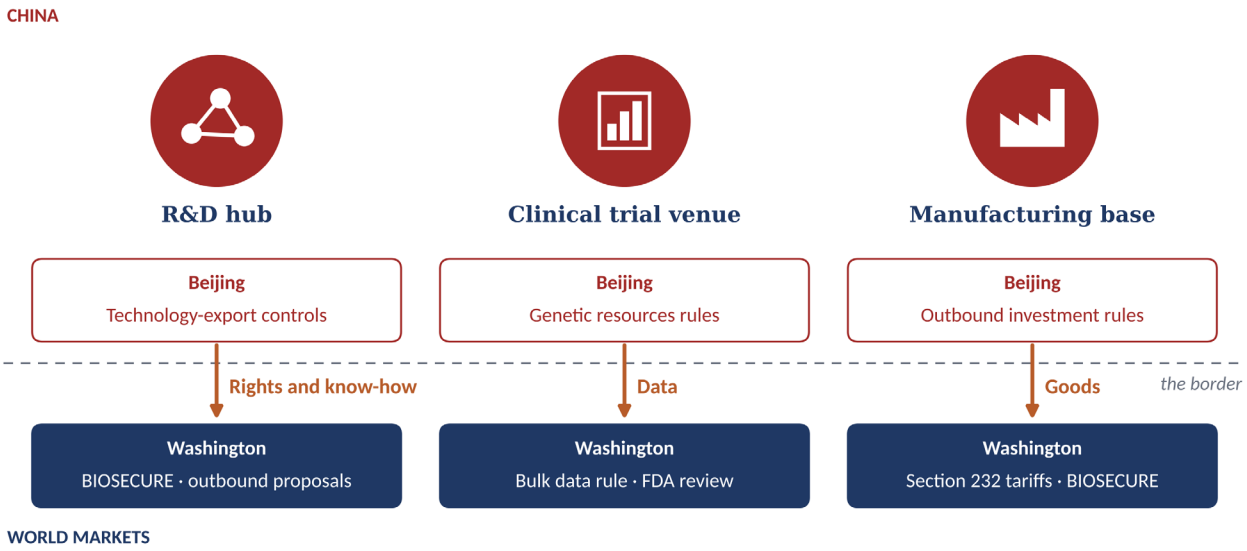
China’s Place in the Global Life Sciences Value Chain

An Explainer

How China’s roles as R&D hub, clinical trial venue and manufacturing base shape flows of intellectual property rights, data and goods across its borders, and how Washington and Beijing are using trade and investment restrictions to control these flows.



~$7bn

Upfront payments on 2025 Chinese out-licensing deals, against a headline value of $135.7bn

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Chinese share of drug master files for active ingredients in 2024; Europe held 63% in 1981

15%

China’s share of global clinical trial activity in 2023, per IQVIA

12.18.2026

When the first BIOSECURE list of biotechnology companies of concern is due

Simon Lacey

October 2026

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China has come to matter to the global life sciences industry in ways that go well beyond the size of its market, and governments at home and abroad have begun to respond accordingly. Over the past year alone, Washington has enacted the BIOSECURE Act and imposed tariffs on imported medicines, while Beijing has proposed controls on the export of drug discovery platforms. It is probably fair to say that, not so long ago, few in either capital would have regarded a Chinese drug discovery platform as something worth controlling at all.

China now features prominently as a cutting-edge R&D hub, an essential venue for clinical trials and as the largest manufacturing base, and each of these roles sends something different across its borders: rights and know-how in the case of R&D, clinical and genetic data from the many trials conducted there, and physical goods, from active ingredients to contract-manufactured drugs from the vast network of factories that constitute China's manufacturing base. Each flow is governed by its own set of controls in Washington and in Beijing, some already in force and others still proposed. To take just one example, a license buys the rights to market a drug but not the capability to make it without the Chinese partner, and it is ownership of precisely that kind of capability that Beijing's most recent proposals seek to keep in Chinese hands. Since almost every firm in the industry does business with China along one or more legs of this value chain, its exposure depends on which of these three flows it relies on.

This explainer first sets out why China has become so difficult to replace in each of these roles, before turning to the controls that now govern each of these flows. It then identifies which trigger each instrument uses, where governments are exercising discretion without any published timetable, and which dates matter over the coming months.

This explainer is not investment, legal, or compliance advice. It is intended for professionals operating at the intersection of trade policy, geopolitics, and supply chain strategy. Positions are stated as of October 28, 2026.

In Short

China now supplies a large share of the world's new drug candidates, offers foreign drug companies a faster and more economical pathway for conducting clinical trials and, finally, accounts for a dominant share of the chemistry on which generic medicines depend. Each of these contributions engages China in international trade in a different form. Each is also now subject to its own set of controls in Washington and in Beijing, some in force and others still pending. Assessing a firm's exposure therefore begins with identifying which of these flows it depends on.

- **China has become, in effect, the industry's second pipeline.** Chinese drugmakers struck 157 out-licensing deals in 2025 with a headline value of $135.7 billion, up from $51.9 billion the year before. Headline figures of this kind include milestone payments that may never fall due, however, and upfront payments came to around $7 billion.
- **Beijing is moving to decide which capabilities may leave.** Its proposal of October 16, 2026 would prohibit the export of ownership of proprietary cell and gene therapy and siRNA platforms. Licensing, contract research and contract manufacturing would remain outside the prohibition. It is the third time Beijing has followed the same sequence, building a commanding position and then controlling whether the underlying

know-how can leave, after rare earth processing and magnet technology in 2023 and battery materials and lithium processing technology in 2025.

- **Clinical trial data is now regulated on both sides.** On the American side, the Justice Department's bulk sensitive data rule, in effect since April 8, 2025, governs what trial data may flow to China. On the Chinese side, the human genetic resources regime governs what may leave. Washington exempts qualifying clinical investigations, and a May 2026 draft would ease the Chinese regime. Separately, the FDA has shown, most visibly in its 2022 decision on sintilimab, that it is reluctant to approve a medicine on the strength of clinical trial data drawn from China alone.
- **China's role as a manufacturing base is the hardest dependency to unwind, and Washington has so far proceeded with caution.** Chinese firms held 45 percent of drug master files for active pharmaceutical ingredients in 2024, against 63 percent held by European firms in 1981. China is the sole source of 41 percent of the key starting materials for US-approved ingredients. The Section 232 pharmaceutical tariffs, applied from July and September 2026, leave generic medicines and biosimilars outside their scope, at least for now. That is an implicit acknowledgment that this supply cannot be interrupted without harming patients, although the US Department of Commerce must reassess the exclusion within a year.
- **BIOSECURE is law, but its prohibitions are not as yet operative.** The Act became law on December 18, 2025. Its prohibitions depend on company designations and a revision of federal procurement rules that, at the statutory maximum, would not be complete until around mid-2028. That said, the WuXi AppTec case shows the commercial effect running well ahead of the legal one. Customers moved within weeks of a June 2026 listing that a court preliminarily enjoined two months later.

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China's Changing Role in the Life Sciences Industry

For most of the past three decades, foreign drugmakers looked at China primarily as a market, and a difficult one at that. It is certainly a large market. China's pharmaceutical market is estimated to be worth around $265 billion for 2026, second only to the United States, where spending exceeds $600 billion. It is also a market in which the state is the dominant buyer and drives a very hard bargain.

Volume-based procurement, under which public hospitals tender for off-patent drugs in bulk, has produced average price cuts of more than 50 percent, and in some cases of 90 percent. Negotiations for inclusion on the national reimbursement drug list typically take a further 50 to 60 percent off the price of new medicines. Not every company accepts those terms: Pfizer's Paxlovid, to name just one example, was left off the list.

What has changed is what China contributes to the industry beyond its own market. The turning point was a series of regulatory reforms launched in August 2015 with State Council Document No. 44, which set out to clear a large backlog of applications and to raise the standard of review.

- In June 2017, China's drug regulator joined the International Council for Harmonisation as a regulatory member, committing it to the technical guidelines used by its counterparts in the United States, Europe and Japan.

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- From July 2018, applications to begin clinical trials were subject to a 60-day review period, after which a trial could proceed if the regulator had raised no objection, and a new guideline allowed data from trials conducted abroad to support Chinese approvals.
- On April 30, 2018, the Hong Kong Stock Exchange's Chapter 18A regime opened its main board to biotech companies with no revenue, giving the sector access to equity capital on a scale it had never previously enjoyed.

The effect was rapid. On Deloitte's analysis, China's approvals of new drugs lagged those in the United States and Europe by an average of 85 and 84 months respectively in 2017, a gap that shrank to 28 and 31 months in 2018 as the backlog was cleared and review timelines shortened. China's regulator went on to approve 120 new drugs in 2025 alone.

This explainer argues that China now matters to the industry in five distinct but interrelated ways: as market, as R&D hub, as clinical trial venue, as manufacturing base and, increasingly, as regulator. The first of these is the context against which the others play out. The last refers to Beijing's growing use of its own rules to decide what may leave the country. Together with Washington's measures, it forms an overlay of restrictions across the other roles rather than a stage in its own right. The three roles in between are stages of the value chain, and they are the subject of the sections that follow.

Five Roles and What Crosses the Border

Each of the three stages sends something different across China's borders, and governments regulate each of these flows with a different instrument.

- **R&D hub.** What leaves China is a bundle of rights, sometimes accompanied by know-how, in the form of licenses, options and, more rarely, ownership of a technology platform.
- **Clinical trial venue.** What leaves is data: trial results, and the patient and genetic information on which they rest.
- **Manufacturing base.** What leaves is goods, from chemical intermediates to finished medicines.

The table below sets out the levers each capital holds over each flow, with their legal status as of October 28, 2026.

Stage	What crosses the border	Washington's levers	Beijing's levers
R&D hub	Rights and know-how: licenses, options, platforms	BIOSECURE Act (enacted; prohibitions not yet operative). Biotech Investment National Security Act (proposed). Treasury rules on pharmaceutical investment in China (reported, in draft)	Amendment to the catalog of technologies prohibited or restricted from export (proposed; interim registration in force since October 16, 2026). Regulations on Outbound Investment (in force since July 1, 2026)
Clinical trial venue	Data: trial results, patient and genetic data	Justice Department bulk sensitive data rule (in effect since April 8, 2025, with an exemption for qualifying clinical investigations). FDA practice on data drawn from China alone (discretionary)	Human genetic resources regulations and 2023 implementing rules (in force); May 2026 draft easing them (proposed). Cross-border data provisions (in force since March 2024)
Manufacturing base	Goods: ingredients, contract-manufactured drugs	Section 232 tariffs on patented pharmaceuticals (in force; generics and biosimilars excluded at this time). BIOSECURE and Section 1260H listings	No export control on medicines or ingredients. Outbound Investment Regulations govern transfers of restricted technology, staff and training abroad

That said, the stages alone do not tell the whole story, because the chokepoints differ markedly between two sectors that are often discussed as though they were one.

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- **Generic drugs and their ingredients.** The dependency is on concentrated supplies of basic chemistry, much as it is in the refining of rare earths.
- **Innovative biotech.** The contest is over frontier know-how, platforms and data, and it resembles the race in electric vehicles and batteries, in which China built a commanding position and then began to regulate whether the underlying technology may leave.

Sector	Chokepoint	Main policy responses	Analogy
Generic drugs and ingredients (active ingredients, key starting materials)	Concentrated supply of basic chemistry	EU Critical Medicines Act (proposed March 2025); Japan's investment screening of essential medicines; US onshoring push	Rare earth refining
Innovative biotech	Frontier know-how, platforms, data, outsourced research	BIOSECURE; US outbound investment proposals; data rules on both sides; China's technology-export controls	Electric vehicles and batteries

China as an R&D Hub: Licensing and the Transfer of Rights

China's emergence as a source of new medicines took roughly two decades. For much of the 2000s, Chinese drugmakers produced generics and active ingredients, and the country's contribution to innovation took the form of outsourced services for foreign sponsors. WuXi AppTec, founded in Shanghai in December 2000, built its business as a laboratory for Western drug discovery programs and arguably, in doing so, trained a generation of Chinese chemists and biologists in the methods of the global industry. The state, for its part, launched its Major New Drug Development project in 2008, a national science and technology program that by 2019 had supported the approval of 44 novel medicines, against five in the 23 years before it began. In the same year, the Thousand Talents Plan began recruiting Chinese scientists working abroad, many of whom returned with experience at Western drugmakers and research institutions.

The results became visible over the decade that followed. BeiGene, founded in Beijing in 2010, obtained FDA approval in November 2019 for zanubrutinib, a lymphoma treatment and the first novel cancer drug discovered in China to be approved in the United States. The regulatory reforms described above shortened development timelines at home, while Hong Kong's Chapter 18A regime and, from 2019, Shanghai's STAR Market gave companies without revenue access to public capital. Chinese biotech listings peaked in 2021, when 89 companies went public, before the window closed amid tighter listing conditions and a retreat by American investors; in 2023, only 21 biotechs listed on mainland exchanges. It is probably fair to say that the surge in out-licensing since then owes as much to this shortage of capital as to the quality of the science, since a licensing deal with a Western drugmaker became, for many Chinese biotechs, the most reliable way of funding further development.

The scale of that surge is by now well documented. On PharmCube's data, Chinese drugmakers struck 157 out-licensing deals in 2025 with a headline value of $135.7 billion, up from 94 deals worth $51.9 billion in 2024. On Jefferies' analysis, China accounted for roughly a third of global out-licensing in the first half of 2025, against around a fifth in 2023 and 2024. The pipeline behind these deals is also deep, with 639 first-in-class candidates entering development in China since 2022.

Headline values of this kind need handling with some care, however, because they include milestone and royalty payments that fall due only if a drug clears successive hurdles, and many never will. Upfront payments in 2025 came to around $7 billion. On Jefferies' analysis, upfronts for Chinese assets also run 60 to 70 percent below those paid for comparable assets elsewhere, which goes some way to explaining their appeal.

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In a typical out-licensing deal, the buyer acquires the right to develop and sell a medicine. It does not necessarily acquire the capability to do so without the Chinese partner, whether that means the process knowledge needed to manufacture the drug, the data needed to develop it further, or the discovery platform from which the next candidate will come. Indeed, the gap between the rights acquired and the capability the buyer would need if the terms of access changed is arguably the most important exposure in any such deal, and it is this gap that governments on both sides have begun to regulate.

Washington. Its levers at this stage remain largely prospective.

- **BIOSECURE.** The Act, enacted on December 18, 2025, bars federal agencies from procuring biotechnology equipment or services from designated "biotechnology companies of concern", and from contracting with firms that use such services in federal work. It does not prohibit private licensing.
- **Biotech Investment National Security Act.** The bill, introduced in the House as H.R. 9102 and in the Senate as S. 5316, would bring biotechnology licensing and transfers of capabilities within the outbound investment regime. It remains a proposal.
- **Treasury rules.** Reuters reported on September 18, 2026 that Treasury is drafting rules that would preserve most pharmaceutical licensing while restricting biotechnology with weaponizable or pathogen-related applications. Those rules have not been published.

Beijing. It has moved more decisively. On October 16, 2026, the Ministry of Commerce and the Ministry of Science and Technology issued Announcement No. 48, proposing to add five biomedicine entries to the catalog of technologies prohibited or restricted from export, with comments due by November 15.

- **Prohibited.** The export of proprietary cell and gene therapy and siRNA technology platforms, meaning reusable technologies that support the development of several drugs, would be prohibited, but only where ownership changes hands. Specified technologies for genetically modifying pathogens would also be prohibited.
- **Restricted.** Technologies for discovering and validating wholly novel targets in these modalities would be restricted, with licensing of them eligible for automatic approval.
- **Outside the prohibition.** Licensing, contract research and contract manufacturing, as well as the technology needed to develop, produce and maintain approval for a specific product, fall outside it. Antibodies, small molecules, peptides and formulation technology are not covered at all.
- **Interim registration.** Pending the final catalog, exporters must register in-scope transfers with the Ministry of Commerce, including transfers already under way. Registration is a filing rather than an approval, but it gives Beijing a full view of what is leaving while it decides what to control.

Since July 1, 2026, Beijing has also had the State Council's Regulations on Outbound Investment (Order No. 837). These provide for security review of outbound investments and prohibit the unauthorized transfer of restricted technology, including indirectly, by sending technical staff abroad or providing training. Detailed procedures and filing thresholds have yet to be published.

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Beijing's Technology-Export Controls in Other Sectors

Beijing's approach follows a recognizable sequence: build a commanding position in a technology, then control whether the know-how behind it can leave. The December 2023 revision of the catalog extended an existing prohibition on rare earth extraction and separation technology to cover the production of rare earth metals and the preparation of rare earth magnets, and in the same revision added human cell cloning and gene editing technology to the prohibited list. In July 2025, Announcement No. 28 restricted the export of specified battery cathode material and lithium processing technologies. The October 2026 proposal extends the same logic to biomedicine platforms.

Nobody in Western capitals wants China to repeat in biotechnology what it achieved in rare earths. That said, the design of the proposal is instructive. By confining the prohibition to transfers of ownership and leaving licensing untouched, Beijing has resolved the tension between product and capability in favor of continued licensing revenue, while keeping the capability itself under Chinese control.

China as a Clinical Trial Venue: Trial Data and the Rules Governing It

China's rise as a location for clinical trials has been, if anything, faster than its rise as a source of new drugs. On IQVIA's data, China accounted for 15 percent of global trial activity in 2023, a share that had grown by 57 percent since 2019, while Western Europe's share fell by 21 percent over the same period. Industry figures cited by WuXi Biologics' chief executive put China's share of trial starts at around 30 percent in 2024, with trials completed in half the time and at a fifth of the cost. These figures come from industry sources and have not been independently verified, although they point in the same direction as IQVIA's data. At this stage of the value chain, what crosses China's borders is the data generated by these trials, and its movement is now regulated by both Washington and Beijing.

Washington. Two sets of rules are relevant on the American side.

- **The FDA.** The question here is whether data generated in China will be accepted at all. The clearest answer came on February 10, 2022, when the FDA's Oncologic Drugs Advisory Committee voted 14 to 1 against deciding on Lilly and Innovent's sintilimab on the strength of a single trial, ORIENT-11, conducted entirely in China with 397 patients. A complete response letter followed in March 2022, recommending a multiregional trial. That decision did not establish a rule, but it signaled how much weight the FDA gives to the applicability of data to American patients, and sponsors have designed their programs accordingly.
- **The Justice Department.** Its bulk sensitive data rule, in effect since April 8, 2025, restricts transfers of bulk US personal data, including genomic data, to countries of concern, with an exemption for qualifying clinical investigations and post-marketing surveillance.

Beijing. The Chinese rules, for their part, govern what data may leave the country rather than what data may be relied upon.

- **Human genetic resources rules.** Under these regulations and their 2023 implementing rules, foreign parties may not collect samples in China on their own, exports of genetic material require approval, and patents arising from international collaborations must be held jointly. A draft published in May 2026 would ease the regime but has not been adopted.
- **Cross-border data provisions.** These rules, in force since March 2024, add a further layer for personal and important data.

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Drug Regulators and National Security Rules

Requirements to repeat trials locally were once commonplace in Asia. Vietnam's 2005 pharmaceutical law required local trials unless a drug had been marketed for five years in its home country, a requirement waived for most new drugs in 2016 and for vaccines in 2019, although Circular 08/2022 still calls for data on Asian populations. Japan required a domestic Phase 1 trial before a sponsor could join a multiregional study until December 2023, when it moved to case-by-case assessment. China itself required local data until its reforms of 2017 and 2018.

These barriers fell as regulators came to trust one another's work, a trust built over decades through networking, work-sharing and, eventually, reliance on one another's assessments. The security-related barriers now being erected are of a different kind. They reflect mistrust between governments rather than between regulators, and the agencies that dismantled the earlier barriers have no mandate to negotiate them away.

China as a Manufacturing Base: Ingredients, Contract Manufacturing and Supply Dependence

It is as a manufacturing base that China's position is most entrenched, and here Washington has so far moved most cautiously. The figures compiled by the Information Technology and Innovation Foundation, drawing on the US Pharmacopeia, the Council on Foreign Relations and the Wall Street Journal, are stark.

- **Drug master files.** Chinese firms held 45 percent of drug master files for active pharmaceutical ingredients in 2024, and Indian firms 43 percent, against 6 percent for Europe and 3 percent for the United States. In 1981, European firms held 63 percent.
- **Key starting materials.** China is the sole source of 41 percent of the key starting materials for active ingredients in US-approved drugs.
- **India's dependence.** India, often presented as the alternative, imports 87 percent of its antibiotic ingredients from China.
- **Everyday medicines.** The United States relies on China for 90 percent of its ibuprofen and 72 percent of its paracetamol.

Washington's principal instrument here is the tariff. Proclamation 11020 of April 2, 2026 imposed Section 232 duties of 100 percent on patented pharmaceuticals and their ingredients, applied from July 31, 2026 to a list of large companies and from September 29, 2026 to all others. Within that default:

- products of the European Union, Japan, Korea and Switzerland pay 15 percent;
- companies with approved onshoring plans pay 20 percent;
- companies that also have most-favored-nation pricing agreements with the administration, under which they undertake to charge American patients no more than the lowest price they charge in other developed countries, pay nothing until January 20, 2029.

The pricing agreements, the first of which Pfizer concluded in September 2025, give effect to a May 2025 executive order on drug prices. The term borrows from trade law but bears no relation to the most-favored-nation principle of the WTO.

Generic medicines, biosimilars and specified specialty products are excluded at this time. Commerce must reassess the generics exclusion within a year. A presidential social media post on July 22, 2026 outlined a phased tariff on generics, but no proclamation has given it legal effect. The exclusion is, in effect, an acknowledgment that this supply cannot be cut without harming patients.

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The second instrument is the designation of companies rather than products. WuXi AppTec, the world's largest contract research, development and manufacturing organization, drew around 72 percent of its 2025 continuing-operations revenue from American customers. The Department of Defense added it to its Section 1260H list of Chinese military companies on June 8, 2026. On August 7, 2026, the US District Court for the District of Columbia preliminarily enjoined that listing, finding that the department had likely misread its own evidence. The injunction does not bind the Office of Management and Budget, which may still designate WuXi under BIOSECURE's separate criteria on its initial list, due by December 18, 2026.

BIOSECURE's prohibitions take effect only after the Federal Acquisition Regulation has been revised, which at the statutory maximum would be around mid-2028. A separate prohibition under Section 805 of the FY2024 National Defense Authorization Act would extend to Defense Department contractors' supply chains from June 30, 2027. The court nonetheless found that customers had paused, canceled or redirected work within weeks of the listing. In this part of the value chain, the commercial effect of a listing can arrive well ahead of the legal one.

Elsewhere, the response has been framed less as a strategic contest than as a question of supply security. The European Commission proposed a Critical Medicines Act in March 2025 to diversify the supply of essential medicines. Japan, for its part, added the manufacture of infectious-disease drugs to the sectors requiring prior notification of foreign investment in 2020.

What Triggers Each Measure

Knowing which stage a firm depends on is one thing, but it does not by itself establish which measures apply to it, because the instruments described above use four different triggers. A screening exercise built around product codes and countries of origin will catch some of them and miss others entirely.

Trigger	Instruments	Status	What a conventional screen misses
Named entities	BIOSECURE designations; Section 1260H listings; Section 805	Enacted; prohibitions phased from 2027	Exposure through a supplier's supplier, since BIOSECURE also covers firms that use a designated company's services in federal work
The data itself	Justice Department bulk data rule; human genetic resources rules; cross-border data provisions	In force; Chinese easing draft pending	Transfers embedded in routine trial operations rather than in a discrete transaction
Technology type	Export catalog amendment (cell and gene therapy, siRNA platforms and targets)	Proposed; registration in force	Modality matters more than the counterparty, so an antibody deal and an siRNA deal with the same partner are treated quite differently
Product and origin	Section 232 pharmaceutical tariffs	In force; generics excluded at this time	Duties follow the origin of the imported product, not the nationality of the licensor, so a Chinese-made ingredient in a Western-owned drug is exposed

Two of these triggers deserve particular emphasis. The technology-type trigger means that a firm's exposure to Beijing's proposed controls depends on the modality of the asset rather than on the identity of its partner. The entity trigger, as the WuXi case showed, produces commercial consequences on the day of a listing, years before the prohibitions it foreshadows take effect.

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The Role of Administrative Discretion

Measures with published dates can be tracked with some confidence. More difficult to anticipate are the decisions that governments take case by case, without any published timetable, of which several are worth watching.

- **The FDA.** It decides application by application how much weight to give data generated in China. Ivonescimab, which Akeso licensed to Summit Therapeutics for Western markets, will be an important test. Its US application rests on a multiregional trial, HARMONi, that did not show a statistically significant overall survival benefit, even though the FDA had indicated that such a benefit was needed, and the agency's goal date for a decision is November 14, 2026.
- **The Office of Management and Budget.** It will decide which companies appear on the first BIOSECURE list and on what record. It will do so knowing how the Defense Department's case against WuXi fared in court, and in a month that also brings a Trump–Xi encounter at the G20 in Miami.
- **Commerce.** It holds discretion over whether, and when, the generics exclusion ends.
- **The National Health Commission.** It has administered the human genetic resources regime since May 1, 2024, when responsibility passed to it from the Ministry of Science and Technology under State Council Order No. 777. It decides case by case whether samples and data may leave China, and on what terms.
- **The Ministry of Commerce.** It receives registrations under Announcement No. 48 and, together with the Ministry of Science and Technology, will decide what goes into the final catalog. How it handles the registrations already filed, including for transfers under way, will only become apparent over time.

Key Dates

The table below sets out the dates that matter over the coming months. It will be updated once they have passed.

Measure	Position now	Next date	Who must act
Ivonescimab biologics license application	Under FDA review	Goal date November 14, 2026	FDA
Export catalog amendment (Announcement No. 48)	Proposed; interim registration in force since October 16, 2026	Comments close November 15, 2026	Ministry of Commerce and Ministry of Science and Technology
Initial BIOSECURE list of biotechnology companies of concern	Due	December 18, 2026	Office of Management and Budget
WuXi AppTec Section 1260H listing	Preliminarily enjoined since August 7, 2026; merits pending	Discovery motion fully briefed November 5, 2026	District Court; Defense Department (relisting)
BIOSECURE implementing guidance	Not yet issued	Within 180 days of the list, around mid-June 2027	Office of Management and Budget
Section 805 supply-chain prohibition for Defense Department contracts	Enacted; implementing rule not yet issued	June 30, 2027	Defense Department
Section 232 exclusion of generics and biosimilars	In force	Commerce reassessment due by around April 2027	Commerce; the President
Revision of the Federal Acquisition Regulation for BIOSECURE	Not begun	Around mid-2028 at the statutory maximum	FAR Council

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Measure	Position now	Next date	Who must act
Zero Section 232 rate for companies with pricing agreements	In force	Lapses January 20, 2029	The President

In Conclusion

It has become commonplace to ask whether biotechnology will become China's next rare earths. The comparison is useful, but it can be pushed too far, for two reasons.

- **Leverage runs in both directions.** Chinese biotechs depend heavily on licensing revenue from Western buyers, which is presumably why Beijing's proposal leaves licensing untouched and controls only transfers of ownership.
- **Interrupting the supply of medicines harms patients.** This is why Washington's tariffs exclude generics and why its procurement prohibitions come with long transition periods.

For now, then, both sides appear to be managing the dependency with some care.

The more consequential divergence may be among China's trading partners rather than between China and the United States. Washington treats biotechnology as a strategic race and has built instruments that target companies, capital and data. The European Union and Japan treat the sector primarily as a question of supply security for essential medicines, and have turned to procurement and investment-screening tools accordingly.

There is also a certain irony in where this leaves the industry. Over two decades, medicines regulators did a great deal to make the location of research and manufacturing matter less, by learning to trust one another's inspections, data and decisions. Governments are now making location matter again, for reasons that have little to do with the quality, safety or efficacy of medicines.

For a firm or an investor, then, the practical questions are which of the three flows it depends on, which trigger each applicable instrument uses, and how far the rights it holds fall short of the capability it would need if the terms of access changed.

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Sources and Register

Statements in this explainer rest on one of three registers. **Documented primary source:** statutes, proclamations, regulations, official announcements, court decisions and company filings. **Attributed reporting:** named outlets and research providers, identified as such in the text. **Assessment:** the author's judgment, labeled where it appears. Where there is no public record, the text says so.

Primary sources. State Council Document No. 44 (August 2015); Hong Kong Stock Exchange Main Board Listing Rules, Chapter 18A (effective April 30, 2018); BIOSECURE Act, Section 851 of the FY2026 National Defense Authorization Act, P.L. 119-60 (December 18, 2025); Section 805 of the FY2024 National Defense Authorization Act, P.L. 118-31; Department of Defense Section 1260H list, 91 FR 35189 (June 10, 2026); *WuXi AppTec Co., Ltd. v. U.S. Department of Defense*, No. 1:26-cv-02069 (D.D.C. Aug. 7, 2026); H.R. 9102 and S. 5316, 119th Congress; Proclamation 11020 (April 2, 2026), Commerce implementing notice 91 FR 60360 (September 23, 2026) and CBP CSMS #70054007; Executive Order 14297 on most-favored-nation drug pricing (May 12, 2025) and the White House fact sheet on the Pfizer agreement (September 30, 2025); Department of Justice rule on access to US sensitive personal data, 28 CFR Part 202, including §202.511; MOFCOM and MOST Announcement No. 48 of 2026 and the accompanying explanatory statement (October 16, 2026); MOFCOM and MOST Announcement No. 28 of 2025; the December 21, 2023 revision of the Catalog of Technologies Prohibited or Restricted from Export; State Council Regulations on Outbound Investment, Order No. 837 (effective July 1, 2026); Regulations on Human Genetic Resources and their 2023 implementing rules; State Council Order No. 777 (effective May 1, 2024); Cyberspace Administration of China provisions on cross-border data flows (March 22, 2024); EU Critical Medicines Act proposal (March 2025); Japan's Foreign Exchange and Foreign Trade Act amendments (2020); Vietnam's Pharmaceutical Laws of 2005 and 2016 and Circular 08/2022; company disclosures of Summit Therapeutics and WuXi AppTec.

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Further reading from Market Access X. *The Pipeline Bargain* (October 2026), on what licensing Chinese innovation does and does not buy; *The Compliance Countdown* (October 2026), on BIOSECURE's designation tracks and timelines; *Presence Without Transfer*; *The Diversification Trap*; *The No-Compliant-Path Trap*. All are available at marketaccess-x.com.

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marketaccess-x.com | simon.lacey@marketaccess-x.com

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